Company Registration No. 201810924K

# Affle International Pte. Ltd.

Annual Financial Statements
1 April 2018 (date of incorporation) to 31 March 2019

**Affle International Pte. Ltd.**

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The directors are pleased to present their statement to the member together with the audited financial statements of Affle International Pte. Ltd. (the "Company") for the financial period from 1 April 2018 (date of incorporation) to 31 March 2019.

## Opinion of the directors

In the opinion of the directors,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2019 and the financial performance, changes in equity and cash flows of the Company for the financial period from 1 April 2018 (date of incorporation) to 31 March 2019; and

(b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

## Directors

The directors of the Company in office at the date of this report are:

Anuj Khanna Sohum @ Anuj Khanna
Vivek Narayan Gour
Leong Mei Theng

## Arrangements to enable directors to acquire shares or debentures

Except as disclosed in this statement, neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares or debentures of the Company or any other body corporate.

## Directors' interests in shares and debentures

The following director, who held office at the end of the financial year, had, according to the register of directors' shareholdings required to be kept under section 164 of the Singapore Companies Act, Chapter 50, an interest in shares of the Company's holding company as stated below:

| | Direct interest | | Deemed interest | |
|---|---|---|---|---|
| | At date of appointment | At the end of financial year | At date of appointment | At the end of financial year |
| **Ultimate Holding company Affle Holdings Pte Ltd** | | | | |
| Ordinary shares | | | | |
| Anuj Khanna Sohum @ Anuj Khanna | 1,954,500 | 1,878,274 | 1,650,000 | 10,593,306 |
| Preference Share A | | | | |
| Anuj Khanna Sohum @ Anuj Khanna | – | – | 246,750 | – |

## Directors' interests in shares or debentures (cont'd)

Except as disclosed in this report, no director who held office at the end of the financial year had interests in shares, share options, warrants or debentures of the Company, or of related corporations, either at the beginning of the financial year, or date of appointment, or at the end of the financial year.

## Share options

No options were issued by the Company during the financial year. As at 31 March 2019, there are no options on the unissued shares of the Company or any other body corporate which were outstanding.

## Auditor

Ernst & Young LLP have expressed their willingness to accept reappointment as auditor.

On behalf of the board of directors:

Anuj Khanna Sohum @ Anuj Khanna
Director

Leong Mei Theng
Director

Singapore
15 May 2019

## Independent auditor's report to the member of Affle International Pte. Ltd.

### Report on the audit of the financial statements

### Opinion

We have audited the financial statements of Affle International Pte. Ltd. (the Company) which comprise the balance sheet of the Company as at 31 March 2019 and the statement of comprehensive income, statement of changes in equity and the cash flow statement of the Company for the financial period from 1 April 2018 (date of incorporation) to 31 March 2019, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act, Chapter 50 (the Act) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 March 2019 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

### Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### Other Information

Management is responsible for other information. The other information comprises the Directors' Statement, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

## Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

## Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

**Auditor's Responsibilities for the Audit of the Financial Statements (cont'd)**

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

**Report on Other Legal and Regulatory Requirements**

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

Ernst & Young LLP

Ernst & Young LLP

Public Accountants and
Chartered Accountants
Singapore

15 May 2019

**Affle International Pte. Ltd.**

**Statement of comprehensive income**
**For the financial period from 1 April 2018 (date of incorporation) to 31 March 2019**

| | Note | 1 April 2018 to 31 March 2019 US$'000 |
|---|---|---|
| Revenue | 4 | 14,225 |
| Other income | 5 | 45 |
| **Expenses** | | |
| Amortisation and depreciation | 9, 10 | 613 |
| Allowance for expected credit losses | 14 | 302 |
| Business development and marketing expenses | | 616 |
| Professional fees | | 111 |
| Project development and service fees | | 113 |
| Inventory and data cost | | 7,559 |
| Rental on operating leases | | 47 |
| Salaries and employee benefits | 6 | 836 |
| Travelling expenses | | 46 |
| Finance cost | | 26 |
| Other expenses | 7 | 66 |
| | | 10,335 |
| **Profit before tax** | | 3,935 |
| Income tax expense | 8 | 386 |
| **Profit after tax, representing total comprehensive income for the period** | | 3,549 |

*The accompanying accounting policies and explanatory notes form an integral part of the financial statements.*

**Affle International Pte. Ltd.**

**Balance sheet**
**As at 31 March 2019**

| | Note | 2019<br>US$'000 |
|---|---|---|
| **Non-current assets** | | |
| Plant and equipment | 9 | 3 |
| Intangible assets | 10, 11 | 4,863 |
| Investment in subsidiary | 12 | 1 |
| | | 4,867 |
| **Current assets** | | |
| Trade and other receivables | 14 | 4,316 |
| Accrued revenue | 13 | 497 |
| Prepayment | | 5 |
| Cash and cash equivalents | 15 | 2,654 |
| | | 7,472 |
| **Total assets** | | 12,339 |
| **Current liabilities** | | |
| Trade and other payables | 16 | 5,104 |
| Loans and borrowings | 17 | 300 |
| Provision for tax | | 386 |
| | | 5,790 |
| **Non-current liabilities** | | |
| Loans and borrowings | 17 | 1,000 |
| | | 1,000 |
| **Total liabilities** | | 6,790 |
| **Net assets** | | 5,549 |
| **Equity** | | |
| Share capital | 19 | 2,000 |
| Retained earnings | | 3,549 |
| **Total equity** | | 5,549 |
| **Total equity and liabilities** | | 12,339 |

*The accompanying accounting policies and explanatory notes form an integral part of the financial statements.*

**Affle International Pte. Ltd.**

**Statement of changes in equity**
**For the financial period from 1 April 2018 (date of incorporation) to 31 March 2019**

| | Share Capital (Note 19) US$'000 | Retained earnings US$'000 | Total equity US$'000 |
|---|---|---|---|
| **As at 1 April 2018 (date of incorporation)** | – | – | – |
| Profit for the year, representing total comprehensive income for the financial period | – | 3,549 | 3,549 |
| Contributions by owners | | | |
| Issuance of ordinary shares on April 2018 | 1,500 | – | 1,500 |
| Issuance of new ordinary shares on March 2019 | 500 | – | 500 |
| **As at 31 March 2019** | 2,000 | 3,549 | 5,549 |

*The accompanying accounting policies and explanatory notes form an integral part of the financial statements.*

**Affle International Pte. Ltd.**

**Cash flow statement**
**For the financial period from 1 April 2018 (date of incorporation) to 31 March 2019**

| | Note | 1 April 2018 to 31 March 2019 US$'000 |
|---|---|---|
| **Cash flows from operating activities** | | |
| Profit before tax | | 3,935 |
| Adjustments for: | | |
| Interest income | 5 | (2) |
| Amortisation and depreciation | 9, 10 | 613 |
| Allowance for expected credit losses | 14 | 302 |
| Finance cost | | 26 |
| Unrealised exchange loss | | (9) |
| **Operating cash flows before changes in working capital** | | 4,865 |
| Increase in accrued revenue | | (497) |
| Increase in trade and other receivables | | (4,118) |
| Increase in prepayments | | (5) |
| Increase in trade and other payables | | 3,854 |
| **Cash flows from operations** | | 4,099 |
| Interest received | | 2 |
| Finance cost paid | | (26) |
| **Net cash flows generated from operating activities** | | 4,075 |
| **Cash flows from investing activities** | | |
| Purchases of plant and equipment | 9 | (4) |
| Additions to intangible assets | 10 | (569) |
| Net cash outflows on acquisition of business segment | 11 | (1,750) |
| Proceeds from issuance of ordinary shares | 19 | 1,500 |
| Net cash outflows on transfer of business | 20 | (1,907) |
| **Net cash flows used in investing activities** | | (2,730) |
| **Cash flows from financing activities** | | |
| Proceeds from term loan | 17 | 1,500 |
| Repayment of term loan | 17 | (200) |
| **Net cash flows generated from financing activities** | | 1,300 |
| **Net increase in cash and cash equivalents** | | 2,645 |
| Cash and cash equivalents at the date of incorporation | | – |
| Effect of exchange rate changes on cash and cash equivalents | | 9 |
| **Cash and cash equivalents at 31 March** | 15 | 2,654 |

*The accompanying accounting policies and explanatory notes form an integral part of the financial statements.*

## 1. Corporate information

Affle International Pte. Ltd. (the "Company") is a limited liability company incorporated and domiciled in Singapore. The registered office and principal place of business of the Company is located at 100 Pasir Panjang Road, #06-07, Singapore 118518.

The Company is a wholly-owned subsidiary of Affle India Limited, incorporated in India. The ultimate holding company is Affle Holdings Pte. Ltd., incorporated in Singapore. Related companies in these financial statements refer to subsidiaries of Affle Holdings Pte. Ltd.

The principal activity of the Company is rendering service through Mobile Audience As a Service ("MAAS") platform ("the Platform"). The Platform uses cloud based audience algorithms to build, promote and monetise mobile assets for our customers. There have been no significant changes in the nature of these activities during the financial period.

## 2. Summary of significant accounting policies

### *2.1 Basis of preparation*

The financial statements of the Company have been prepared in accordance with Singapore Financial Reporting Standards ("FRS").

The financial statements have been prepared on a historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in United States Dollars ("USD" or "US$") except when otherwise indicated. The Company's functional currency is USD.

### *2.2 Changes in accounting policies*

The Company applied FRS 115 and FRS 109 for the first time. The nature and effect of the changes as a result of adoption of these new accounting standards are described below.

Several other amendments and interpretations apply for the first time in 2018, but do not have any impact on the financial statements of the Company. The Company has not early adopted any standards, interpretations or amendments that have been issued but are not yet effective.

#### (a) FRS 115 Revenue from Contracts with Customers

FRS 115 supersedes FRS 18 Revenue and related interpretations and it applies, with limited exceptions, to all revenue arising from contracts with its customers. FRS 115 establishes a five-step model to account for revenue arising from contracts with customers and requires that revenue be recognised at an amount that reflects the consideration which an entity expects to be entitled in exchange for transferring goods or services to a customer.

FRS 115 requires the Company to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract. In addition, the standard requires extensive disclosures.

The Company elected to adopt FRS 115 using the modified retrospective method.

## 2. Summary of significant accounting policies (cont'd)

### 2.2 *Changes in accounting policies (cont'd)*

#### (a) FRS 115 Revenue from Contracts with Customers (cont'd)

Services rendered for mobile assets (Consumer Platform)

The Company's contracts with customers for services rendered for mobile assets generally includes a single performance obligation. The Company has concluded that for services rendered for mobile assets, they should be recognised over a period of time when control of the asset is progressively transferred to the customer, generally upon customer acceptance. Therefore, the adoption of FRS 115 did not have an impact on the timing of revenue recognition.

#### (b) FRS 109 Financial Instruments

FRS 109 Financial Instruments replaces FRS 39 Financial Instruments: Recognition and Measurement for annual periods beginning on or after 1 January 2018, bringing together all three aspects of the accounting for financial instruments: classification and measurement; impairment; hedge accounting.

The Company has applied FRS 109 retrospectively, with the initial application date of 1 April 2018. Except for hedge accounting, retrospective application is required but providing comparative information is not compulsory.

Impairment

The adoption of FRS 109 has fundamentally changed the Company's accounting for impairment losses for financial assets by replacing FRS 39's incurred loss approach with a forward-looking expected credit loss (ECL) approach. FRS 109 requires the Company to record an allowance for ECLs for all loans and other debt financial assets not held at fair value through profit or loss.

ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive. The shortfall is then discounted at an approximation to the asset's original effective interest rate.

For trade and other receivables, the Company has applied the standard's simplified approach and has calculated ECLs based on lifetime expected credit losses. The Company has established a provision matrix that is based on the Company's historical credit loss experience with necessary adjustments for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 270 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company.

The Company has applied FRS 109 retrospectively, with the initial application date of 1 April 2018. The adoption of the ECL requirements of FRS 109 did not result in any significant impact in impairment allowances of the Company's debt financial assets.

## 2. Summary of significant accounting policies (cont'd)

### *2.3 Standards issued but not yet effective*

The Company has not adopted the following standards and interpretations that have been issued but not yet effective:

| *Description* | *Effective for annual periods beginning on or after* |
|---|---|
| FRS 116 *Leases* | 1 January 2019 |
| INT FRS 123 *Uncertainty over Income Tax Treatments* | 1 January 2019 |
| Amendments to FRS 109 *Prepayment Features with Negative Compensation* | 1 January 2019 |

Except for FRS 116, the directors expect that the adoption of the other standards above will have no material impact on the financial statements in the period of initial application. The nature of the impending changes in accounting policy on adoption of FRS 116 are described below

FRS 116 *Leases*

FRS 16 requires lessees to recognise most leases on balance sheets. The standard includes two recognition exemption for lessees – leases of 'low value' assets and short-term leases. FRS 16 is effective for annual periods beginning on or after 1 January 2019. At commencement date of a lease, a lessee will recognise a liability to make a lease payment (i.e. the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e. the right-of-use asset). Lessees will be required to separately recognise the interest expense on the lease liability and depreciation expense on the right-of-use asset. The Company is currently assessing the impact of the new standard and plans to adopt the new standard on the required effective date.

The Company plans to adopt FRS 16 retrospectively with the cumulative effect of initially applying the standard as an adjustment to the opening retained earnings at the date of initial application, 1 January 2019.

On the adoption of FRS 16, the Company expects to choose, on a lease-by-lease basis, to measure the right-of-use asset at either:

(i) its carrying amount as if FRS 16 had been applied since the commencement date, but discounted using the lessee's incremental borrowing rate as of 1 January 2019;

(ii) or an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments relating to that lease recognised in the statement of financial position immediately before 1 January 2019.

## 2. Summary of significant accounting policies (cont'd)

### 2.3 *Standards issued but not yet effective (cont'd)*

FRS 116 *Leases (cont'd)*

In addition, the Company plans to elect the following practical expedients:

- not to reassess whether a contract is, or contains a lease at the date of initial application and to apply FRS 16 to all contracts that were previously identified as leases
- to apply the exemption not to recognise right-of-use asset and lease liabilities to leases for which the lease term ends within 12 months as of 1 January 2019
- to apply a single discount rate to a portfolio of leases with reasonably similar characteristics

The Company is currently assessing the impact of FRS 16 and plans to adopt the new standard on the required effective date.

### 2.4 *Foreign currency*

The financial statements are presented in United States Dollars, which is also the Company's functional currency. The Company determines its own functional currency and items included in the financial statements are measured using that functional currency.

Transactions in foreign currencies are measured in the respective functional currencies of the Company and are recorded on initial recognition in the functional currencies at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the balance sheet date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the balance sheet date are recognised in the profit or loss.

### 2.5 *Plant and equipment*

Property, plant and equipment are initially recorded at cost. The cost of an item of plant and equipment is recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably.

Subsequent to recognition, property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses.

Depreciation is computed on a straight-line basis over the estimated useful lives of the assets as follows:

| | | |
|---|---|---|
| Computers | - | 3 years |
| Furniture and fittings | - | 5 years |
| Office equipment | - | 5 years |
| Renovation | - | 3 years |

## 2. Summary of significant accounting policies (cont'd)

### *2.5 Plant and equipment (cont'd)*

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual value, useful life and depreciation method are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on de-recognition of the asset is included in profit or loss in the year the asset is derecognised.

### *2.6 Intangible assets*

Intangible assets acquired separately are measured initially at cost. Following initial acquisition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in profit or loss in the year in which the expenditure is incurred.

The useful lives of intangible assets are assessed as finite.

Intangible assets with finite useful lives are amortised over the estimated useful lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates.

Intangible assets with indefinite useful lives or not yet available for use are tested for impairment annually, or more frequently if the events and circumstances indicate that the carrying value may be impaired either individually or at the cash-generating unit level. Such intangible assets are not amortised. The useful life of an intangible asset with an indefinite useful life is reviewed annually to determine whether the useful life assessment continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is de-recognised.

*Research and development costs*

Research costs are expensed as incurred. Capitalised development costs are recognised as an intangible asset when the Company can demonstrate the technical feasibility of completing the intangible asset so that it will be available for use or sale, its intention to complete and its ability to use or sell the asset, how the asset will generate future economic benefits, the availability of resources to complete and the ability to measure reliably the expenditures during the development.

## 2. Summary of significant accounting policies (cont'd)

### *2.6 Intangible assets (cont'd)*

*Research and development costs (cont'd)*

Following initial recognition of the capitalised development costs as an intangible asset, it is carried at cost less accumulated amortisation and any accumulated impairment losses. Amortisation of the intangible asset begins when development is complete and the asset is available for use. Capitalised development costs are amortised on a straight line basis over the estimated useful economic life of 4 years. Capitalised development costs are assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method are reviewed at least at each financial year end.

### *2.7 Impairment of non-financial assets*

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when an annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

### *2.8 Subsidiary*

A subsidiary is an investee that is controlled by the Company. The Company controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

### *2.9 Basis of consolidation*

The financial statements of the subsidiary has not been consolidated with that of the Company as the Company is itself a wholly-owned subsidiary of a company incorporated in Singapore. The financial statements of the Company and its subsidiaries have been consolidated with the financial statements of its holding company, Affle Holdings Pte. Ltd., whose registered office is at 100 Pasir Panjang Road #06-07, Singapore 118518.

## 2. Summary of significant accounting policies (cont'd)

### *2.10 Financial instruments*

#### (a) Financial assets

***Initial recognition and measurement***

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.
At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the contractual cash flow characteristics of the asset. The three measurement categories for classification of debt instruments are:

(i) Amortised cost

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through amortisation process.

(ii) Fair value through other comprehensive income (FVOCI)

Financial assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Financial assets measured at FVOCI are subsequently measured at fair value. Any gains or losses from changes in fair value of the financial assets are recognised in other comprehensive income, except for impairment losses, foreign exchange gains and losses and interest calculated using the effective interest method are recognised in profit or loss. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment when the financial asset is de-recognised.

(iii) Fair value through profit or loss

Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt instruments that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss in the period in which it arises.

## 2. Summary of significant accounting policies (cont'd)

### *2.10 Financial instruments (cont'd)*

#### (a) Financial assets (cont'd)

***Derecognition***

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

#### (b) Financial liabilities

***Initial recognition and measurement***

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value, plus, in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

***Subsequent measurement***

After initial recognition, financial liabilities that are not carried at fair value through profit or loss are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

***De-recognition***

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

### *2.11 Impairment of financial assets*

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

## 2. Summary of significant accounting policies (cont'd)

### *2.11 Impairment of financial assets (cont'd)*

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 120 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

### *2.12 Cash and cash equivalents*

Cash and cash equivalents comprise cash at bank and on hand and demand deposits.

### *2.13 Provisions*

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

### *2.14 Government grants*

Government grants are recognised when there is reasonable assurance that the grant will be received and all attaching conditions will be complied with.

Government grant shall be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate. Grants related to income may be presented as a credit in profit or loss, either separately or under a general heading such as "other income". Alternatively, they are deducted in reporting the related expenses.

### *2.15 Employee benefits*

#### (a) Defined contribution plan

The Company participates in the national pension schemes as defined by the law in Singapore. The Company makes contributions to the Central Provident Fund scheme in Singapore, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

## 2. Summary of significant accounting policies (cont'd)

### *2.15 Employee benefits (cont'd)*

#### (b) Employee leave entitlement

Employee entitlements to annual leave are recognised as a liability when they are accrued to the employees. The undiscounted liability for leave expected to be settled wholly before twelve months after the end of the reporting period is recognised for services rendered by employees up to the end of the reporting period.

### *2.16 Leases*

**As lessee**

Finance leases which transfer to the Company substantially all the risks and rewards incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased asset or, if lower, at the present value of the minimum lease payments. Any initial direct costs are also added to the amount capitalised. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged to profit or loss. Contingent rents, if any, are charged as expenses in the periods in which they are incurred.

Operating lease payments are recognised as an expense in profit or loss on a straight-line basis over the lease term. The aggregate benefit of incentives provided by the lessor is recognised as a reduction of rental expense over the lease term on a straight-line basis.

### *2.17 Revenue*

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

#### (a) Development of mobile assets (Enterprise Platform)

Revenue from the development of mobile assets is recognised by reference to the stage of completion at the end of the reporting period by using the percentage-of-completion method based on the actual service provided as a proportion of the total services to be performed. Where the contract outcome cannot be measured reliably, revenue is recognised to the extent of the expenses recognised that are recoverable.

#### (b) Services rendered for mobile assets (Consumer Platform)

Revenue from services rendered for mobile assets is recognised on accrual basis upon rendering of services based on the terms of the contracts. In terms of contracts, excess/shortfall of revenue over the billed as at the period-end is carried in financial statement as gross amount due from/to customers for contract work-in-progress.

## 2. Summary of significant accounting policies (cont'd)

### *2.17 Revenue (cont'd)*

#### (c) Service fee charged to subsidiary

Service fee was received from its subsidiary in regards to the use of the Affle platform which was developed by the Company. Service fee is recognised on an accrual basis in accordance with the substance of the relevant agreements.

#### (d) Interest income

Interest income is recognised using the effective interest method.

### *2.18 Taxes*

#### (a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the end of the reporting period, in the countries where the Company operates and generates taxable income.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

#### (b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

## 2. Summary of significant accounting policies (cont'd)

### *2.18 Taxes (cont'd)*

#### (b) Deferred tax (cont'd)

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred income tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the end of each reporting period.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity and deferred tax arising from a business combination is adjusted against goodwill on acquisition.

#### (c) Sales tax

Revenue, expenses and assets are recognised net of the amount of sales tax except:

- Where the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable; and

- Receivables and payables that are stated with the amount of sales tax included.

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the balance sheet.

## 2. Summary of significant accounting policies (cont'd)

### *2.19 Share capital*

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

### *2.20 Contingencies*

A contingent liability is:

(a) A possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or

(b) A present obligation that arises from past events but is not recognised because:

(i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or

(ii) The amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company.

Contingent liabilities and assets are not recognised on the balance sheet of the Company, except for contingent liabilities assumed in a business combination that are present obligations and which the fair values can be reliably determined.

## 3. Significant accounting judgements and estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

### *3.1 Judgements made in applying accounting policies*

#### (a) Determination of functional currency

In determining the functional currency of the Company, judgement is required to determine the currency that mainly influences sales prices for goods and services and of the country whose competitive forces and regulations mainly determine the sales prices of its goods and services. The functional currencies of the Company is determined based on management's assessment of the currency that mainly influences sales prices for goods and services. Management has assessed that prices are mainly denominated and settled in USD. In addition, most of the direct cost base is mainly denominated in USD as well. Therefore, management concluded that the functional currency of the Company is USD.

## 3. Significant accounting judgements and estimates (cont'd)

### *3.2 Key sources of estimation uncertainty*

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of each reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

#### (a) Revenue recognition

The Company recognises revenue by reference to the stage of completion of the contract activity at the end of each reporting period, when the outcome of contract can be estimated reliably. The stage of completion is measured by reference to the proportion that contract costs incurred for work performed to date to the estimated total contract costs. Significant assumptions are required to estimate the total contract costs. In making this estimates, management had relied on the past experience and knowledge of the project engineers.

#### (b) Provision for expected credit losses of trade receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At every reporting date, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and forecast of economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade receivables is disclosed in Note 14.

The carrying amount of trade receivables at the end of the reporting period is disclosed in Note 14.

#### (c) Development cost

Development costs are capitalised in accordance with the accounting policy in Note 2.6. Initial capitalisation of costs is based on management's judgement that technological and economic feasibility is confirmed, usually when a product development project has reached a defined milestone according to an established project management model. In determining the amounts to be capitalised, management makes assumptions regarding the expected future cash generation of the project and the expected period of benefits. As at 31 March 2019, the carrying amount of development costs capitalised at the end of the reporting period was US$1,898,000.

## 4. Revenue

| | 1 April 2018 to 31 March 2019 US$'000 |
|---|---|
| Services rendered for mobile assets (Consumer platform) | 13,921 |
| Development of mobile assets (Enterprise platform) | 304 |
| | 14,225 |
| **Business Unit** | |
| Advertisement International | 8,072 |
| Advertisement India | 57 |
| Advertisement SEA | 1,550 |
| Channel Sales | 643 |
| Enterprise | 303 |
| Vizury | 3,021 |
| Intercompany | 579 |
| | 14,225 |
| **Timing of transfer of goods or services** | |
| At a point in time | 13,921 |
| Over time | 304 |
| | 14,225 |

## 5. Other income

| | 1 April 2018 to 31 March 2019 US$'000 |
|---|---|
| Government grants | 1 |
| Service fees charged to related company | 42 |
| Interest income | 2 |
| | 45 |

## 6. Salaries and employee benefits

| | 1 April 2018 to 31 March 2019 US$'000 |
|---|---|
| Salaries and bonuses | 768 |
| Defined contribution plan | 17 |
| Other short term benefits | 51 |
| | 836 |

## 7. Other expenses

| | 1 April 2018 to 31 March 2019 US$'000 |
|---|---|
| Communication expenses | 4 |
| Miscellaneous expenses | 33 |
| Research and development costs | 5 |
| Foreign exchange loss | 17 |
| Others | 7 |
| | 66 |

## 8. Income tax expense

Major components of income tax expense

The major components of income tax expense for the financial period from 1 April 2018 (date of incorporation) to 31 March 2019 is:

| | 1 April 2018 to 31 March 2019 US$'000 |
|---|---|
| **Statement of comprehensive income** | |
| Current income taxation | 386 |
| Deferred income tax: | |
| Origination and reversal of temporary differences | 263 |
| Unrecognition of deferred tax | (263) |
| Income tax expense recognised in profit or loss | 386 |

## 8. Income tax expense (cont'd)

Relationship between tax expense and accounting profit

A reconciliation between tax expense and the product of accounting profit multiplied by the applicable corporate tax rate for the financial period from 1 April 2018 (date of incorporation) to 31 March 2019 is as follows:

| | **1 April 2018 to 31 March 2019** US$'000 |
|---|---|
| Profit before tax | 3,935 |
| Tax calculated at a tax rate of 17% | 669 |
| Effects of: | |
| Non-deductible expenses | 3 |
| Tax effect of partial tax exemption and tax relief | (23) |
| Deferred tax assets not recognised | (263) |
| Income tax expense recognised in profit or loss | 386 |

## 9. Plant and equipment

| | **Computers** US$'000 | **Total** US$'000 |
|---|---|---|
| ***Cost*** | | |
| At 1 April 2018 (date of incorporation) | – | – |
| Addition | 4 | 4 |
| At 31 March 2019 | 4 | 4 |
| ***Accumulated depreciation*** | | |
| At 1 April 2018 (date of incorporation) | – | – |
| Depreciation charge for the period | 1 | 1 |
| At 31 March 2019 | 1 | 1 |
| ***Net carrying amount*** | | |
| At 31 March 2019 | 3 | 3 |

## 10. Intangible assets

| | Internally generated software US$'000 | Software US$'000 | Goodwill US$'000 | Total US$'000 |
|---|---|---|---|---|
| ***Cost*** | | | | |
| At 1 April (date of incorporation) | – | – | – | – |
| Addition | 569 | – | – | 569 |
| Attributable to the acquisition on business segment (Note 11) | – | 240 | 2,760 | 3,000 |
| Attributable to the transfer of business | 8,412 | – | – | 8,412 |
| At 31 March | 8,981 | 240 | 2,760 | 11,981 |
| ***Accumulated amortisation*** | | | | |
| At 1 April (date of incorporation) | – | – | – | – |
| Amortisation for the period | 577 | 35 | – | 612 |
| Attributable to the transfer of business | 6,506 | – | – | 6,506 |
| At 31 March | 7,083 | 35 | – | 7,118 |
| ***Net carrying amount*** | | | | |
| At 31 March | 1,898 | 205 | 2,760 | 4,863 |

Internally generated software

As a global data and audience centric end-to-end mobile apps and ad services platform company, the integrated technology platform focuses on delivering brand and commerce campaigns for our customers.

The Company capitalises certain internal software development costs primarily consists of salaries and manpower related cost for development employees which are associated with creating the internally developed software. Additional expenses includes office rental, outsourcing costs and other related overhead.

## 11. Acquisition on business segment

On 1 September 2018, the Company acquired Business Segment (Commerce Business including its Brand, IP, Domain, employees and Business relationships) of Vizury Interactive Solutions Private Limited and Vizury Interactive Solutions FZ-LLC for consideration of US$500,000 and US$2,500,000 respectively.

As the Purchase Price Allocation ("PPA") conducted by an independent appraiser was completed as at date of financial statements, the consideration of US$3,000,000 have been allocated based on the fair value computations at the acquisition date as an intangible asset arising from this acquisition. The initial accounting for this business combination has been finalised as at date of the financial statements. Based on the PPA information obtained, the fair value of the identifiable net asset arising from the transaction are as follow:

| | **Value recognised on acquisition** |
|---|---|
| | US$'000 |
| Software | 240 |
| Total identifiable net assets | 240 |
| Goodwill arising from acquistion (Note 10) | 2,760 |
| | 3,000 |
| Consideration transferred for the acquisition of Vizury | |
| Cash paid during the year | 1,750 |
| Amount payable to Vizury | 1,250 |
| Total consideration | 3,000 |

## 12. Investment in subsidiary

The Company had following investment as at 31 March:

| | 2019<br>US$'000 |
|---|---|
| Shares, at cost | 1 |

| Name | Country of incorporation | Principle activities | Proportion (%) of ownership interest 2019 |
|---|---|---|---|
| *Held by the Company:* | | | |
| PT Affle Indonesia | Indonesia | Product development for mobile software & technology | 100 |

On 1 July 2018, the Company acquired 100% equity interest in PT Affle Indonesia for a purchase consideration of US$1,000.

## 13. Accrued revenue

Accrued revenue relates to completed services rendered for mobile assets that has yet to be billed to customers.

## 14. Trade and other receivables

| | 2019<br>US$'000 |
|---|---|
| ***Trade and other receivables (current):*** | |
| Trade receivables from third parties | 3,294 |
| Amount due from subsidiary (trade) | 311 |
| Amount due from subsidiary (non-trade) (Note 18) | 13 |
| Amount due from ultimate holding company | 32 |
| Amount due from related company | 220 |
| Deposits | 23 |
| Other receivables | 725 |
| | 4,618 |
| Allowance for expected credit losses | (302) |
| Total trade and other receivables (current) | 4,316 |
| Add: Cash and cash equivalents (Note 15) | 2,654 |
| Less: Sales tax receivables | (21) |
| Total loans and receivables | 6,949 |

## 14. Trade and other receivables (cont'd)

Trade receivables

Trade receivables are non-interest bearing and are generally on 30 to 90 days' terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.

Trade and other receivables denominated in foreign currency at 31 March are as follows:

| | **2019** US$'000 |
|---|---|
| Euro Dollar | 377 |
| Malaysia Ringgit | 261 |
| Singapore Dollar | 67 |
| Canadian Dollar | 1 |

***Allowance for expected credit losses***

The movement in allowance for expected credit losses of trade receivables and other receivables computed based on lifetime ECL is as follows:

| | US$'000 |
|---|---|
| Movement in allowance accounts: | |
| At 1 April 2018 | – |
| Allowance for expected credit losses | (302) |
| Write-off | – |
| Exchange differences | – |
| At 31 March 2019 | (302) |

***Credit risk exposure on trade receivables using a provision matrix***

**31 March 2019**

| | | | Days past due | | | |
|---|---|---|---|---|---|---|
| | Current US$'000 | < 30 days US$'000 | > 31 to 60 days US$'000 | > 61 to 90 days US$'000 | > 90 days US$'000 | Total US$'000 |
| Carrying amount of trade receivables | 1,088 | 1,118 | 261 | 312 | 515 | 3,294 |
| Expected credit loss | – | – | – | – | 302 | 302 |

Trade debtors that are individually determined to be impaired at the balance sheet date relate to debtors that are in significant financial difficulties and have defaulted on payments. These debtors are not secured by any collateral or credit enhancements.

## 15. Cash and cash equivalents

| | 2019<br>US$'000 |
|---|---|
| Cash at bank | 1,653 |
| Short-term deposits | 1,001 |
| | 2,654 |

Cash at banks earns interest at floating rates based on daily bank deposit rates. Short-term deposits are made for varying periods of between one to three months, depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates. The effective interest rate as at 31 March 2019 for the Company was 2.23%.

Cash and cash equivalents denominated in foreign currency at 31 March are as follows:

| | 2019<br>US$'000 |
|---|---|
| Singapore Dollar | 156 |

## 16. Trade and other payables

| | 2019<br>US$'000 |
|---|---|
| Trade payables: | |
| Trade payables to third parties | 683 |
| Amount due to holding company (trade) | 432 |
| | 1,115 |
| Other payables: | |
| Amount due to related company (non-trade) (Note 18) | 485 |
| Amount due to holding company (non-trade) (Note 18) | 154 |
| Advance payment from customers | 52 |
| Accruals | 1,924 |
| Other payables | 1,374 |
| Total trade and other payables | 5,104 |
| Add: Loans and borrowings – current (Note 17) | 300 |
| Add: Loans and borrowings – non-current (Note 17) | 1,000 |
| Total financial liabilities carried at amortised cost | 6,404 |

## 16. Trade and other payables (cont'd)

Trade and other payables denominated in foreign currency at 31 March is as follows:

| | **2019** US$'000 |
|---|---|
| Singapore Dollar | 22 |
| Malaysia Ringgit | 11 |

## 17. Loans and borrowings

| | **Maturity** | **2019** US$'000 |
|---|---|---|
| Term loan | 2020 | 1,000 |
| Due within 12 months | | 300 |

The term loan from the ultimate holding Company at the reporting date is unsecured and are repayable quarterly with loan tenure of 24 months with the interest rate of 3% per annum from drawdown dates.

A reconciliation of liabilities arising from financing activities is as follows:

| | **As at 1 April 2018 (date of incorporation)** US$'000 | **Cash flows** US$'000 | **Repayment** US$'000 | **As at 31 March 2019** US$'000 |
|---|---|---|---|---|
| Loans and borrowings | – | 1,500 | (200) | 1,300 |

## 18. Amount due to holding company
## Amount due to related company
## Amount due from subsidiary

Amounts due to holding company and related company and amount due from subsidiary are non-trade related, unsecured, non-interest bearing repayable upon demand.

## 19. Share capital

| | 2019 | |
|---|---|---|
| | No. of shares | US$'000 |
| **Issued ordinary shares** | | |
| At 1 April | – | – |
| Issuance of ordinary shares on April 2018 | 211,268 | 1,500 |
| Issuance of new ordinary shares on March 2019 | 500,000 | 500 |
| At 31 March | 711,268 | 2,000 |

In March 2019, the general meeting of shareholders approved the issue of 211,268 ordinary shares at a price of USD 7.10 per share. The Company has issued 70,423 ordinary shares amounted US$500,000 but not fully paid.

## 20. Transfer of business

On 1 July 2018, the agreed assets and liabilities from Affle Global Pte. Ltd. were transferred to the Company for a consideration of US$1,907,000.

The identifiable cash flows assets and liabilities was transferred to the Company on 1 July 2018 were:

| | 2019 |
|---|---|
| | US$'000 |
| Intangible assets | 1,906 |
| Investment in subsidiary | 1 |
| Net assets transferred | 1,907 |
| **Consideration paid for transfer of business** | 1,907 |

## 21. Related party transactions

### (a) Sales and purchase of services

Other than the related party information disclosed elsewhere in the financial statements, the following are transactions between the Company and related parties during the financial year:

| | **2019**<br>US$'000 |
|---|---|
| Service provided to subsidiary | (628) |
| Service received from holding company | 1,796 |
| Recharge of manpower cost from holding company | 384 |
| Recharge of manpower cost to ultimate holding company | (150) |
| Recharge of manpower cost to related company | (2) |
| Recharge of manpower cost to subsidiary | (27) |

### (b) Key management personnel compensation

Key management personnel compensation is as follows:

| | **2019**<br>US$'000 |
|---|---|
| Salaries and bonuses | 118 |
| Defined contribution plan | 9 |
| | 127 |

## 22. Commitments

### (a) Operating lease commitments – as lessee

The Company has entered into commercial leases for its office premises and equipment. These leases have an average tenure of three years with renewal option but no contingent rent provision included in the contract. Future minimum rentals under non-cancellable leases as at 31 March are as follows:

| | **2019**<br>US$'000 |
|---|---|
| Not later than one year | 57 |
| Later than one year but not later than five years | 67 |
| | 124 |

Operating lease payments recognised as an expense in the profit or loss during the year amounting to US$47,000.

## 23. Fair value of financial instruments

**Fair value of financial instruments by classes that are not carried at fair value and whose carrying amounts are reasonable approximate of fair value**

Cash and cash equivalents, trade and other receivables, trade and other payables, amount due (from)/to related company/subsidiary/holding company based on their notional amounts, reasonably approximate their fair value due to their short term nature.

## 24. Financial risk management objectives and policies

The Company is exposed to financial risks arising from its operations and the use of financial instruments. The key financial risks include credit risk and liquidity risk. The board of directors reviews and agrees policies and procedures for the management of these risks. Throughout the current financial year, the Company did not engage in speculative activities.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

### (a) Credit risk

Credit risk is the risk of loss that may arise on outstanding financial instruments should a counterparty default on its obligations. The Company's exposure to credit risk arises primarily from trade and other receivables. For other financial assets (including cash and cash equivalents), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

The Company has no significant concentration of credit risk. The Company has policies in place to ensure that transactions are entered into only with counterparties that are of acceptable credit quality. In addition, receivables balances are monitored on an ongoing basis with the result that the Company's exposure to bad debts is not significant.

The maximum exposure to credit risk is represented by the net carrying amount of financial assets recorded in the financial statements. No other financial assets carry a significant exposure to credit risk.

## 24. Financial risk management objectives and policies (cont'd)

### (a) Credit risk (cont'd)

Exposure to credit risk

At the end of the reporting period, the Company's maximum exposure to credit risk is represented by the outstanding trade and other receivables and cash and cash equivalents as disclosed in Note 14 and 15 respectively.

### (b) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities.

**Analysis of financial instrument by remaining contractual maturities**

The table below summarises the maturity profile of the Company's financial assets and liabilities at the end of the reporting period based on contractual undiscounted repayment obligations.

| | One year or less US$'000 | One year or more US$'000 | Total US$'000 |
|---|---|---|---|
| **2019** | | | |
| **Financial assets:** | | | |
| Loans and receivables | 6,949 | – | 6,949 |
| Total undiscounted financial assets | 6,949 | – | 6,949 |
| **Financial liabilities:** | | | |
| Financial liabilities carried at amortised cost | 5,404 | 1,000 | 6,404 |
| Total undiscounted financial liabilities | 5,404 | 1,000 | 6,404 |
| Total net undiscounted financial assets | 1,545 | (1,000) | 545 |

## 24. Financial risk management objectives and policies (cont'd)

### (c) Foreign currency risk

The Company is exposed to foreign currency risk on sales and expenses that are denominated in other currencies. The currencies giving rise to this risk are primarily the Singapore Dollar (SGD), Malaysia Ringgit (MYR) and Euro Dollar (Euro). The Company also holds cash and cash equivalents denominated in foreign currency for working capital purposes.

The Company does not apply hedge accounting for such foreign currency denominated sales and expenses.

*Sensitivity analysis for foreign currency risk*

The following table demonstrates the sensitivity of the Company's profit before tax to a reasonably possible change in the SGD, MYR and EUR exchange rates against the Company's functional currency, with all other variables held constant.

| | **Increase/(decrease) Profit before tax 2019** |
|---|---|
| | US$'000 |
| SGD | |
| - strengthened 5% | 13 |
| - weakened 5% | (13) |
| MYR | |
| - strengthened 5% | 14 |
| - weakened 5% | (14) |
| EUR | |
| - strengthened 5% | 19 |
| - weakened 5% | (19) |

## 25. Authorisation of financial statements

The financial statements for the financial period from 1 April 2018 (date of incorporation) to 31 March 2019 were authorised for issue in accordance with a resolution of the directors on 15 May 2019.